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Study Notes

Economic History of India- Features of Indian Economy

Features of Indian Economy

Low per capita income

India is known in the world as a country with low per capita income. Per capita income is defined as the ratio of national income over population. It gives the idea about the average earning of an Indian citizen in a year, even though this may not reflect the actual earning of each individual. India's per capita income for the year 2012-2013 is estimated at 39,168.

This comes to about 3,264 per month. If we compare India's per capita income with other countries of the world then it can be seen that India is well behind many of them. For example, the per capita income of USA is 15 times more than that of India while China's per capita income is more than three times of India.

Heavy population pressure

India is world's second largest populated country after China. As per 2011 census India's population stands at more than 121 crores. It increased at a rate of 1.03 percent during 1990-2001. The main cause of fast rise in India's population is the sharp decline in death rate while the birth rate has not decreased as fast. Death rate is defined as the number of people died per thousand of population while birth rate is defined as the number of people taking birth per thousand of population.

In 2010, the birth rate was 22.1 persons per one thousand population while the death rate was only 7.2 persons per one thousand population. In fact, it is a sign of development. Low death rate reflects better public health system. But high birth rate is a problem because it directly pushes the growth of population.

After 1921, India's population increased very fast because birth rate declined very slowly while death rate declined very fast. From 49 in 1921 the birth rate declined to 22.1 in 2010 while during the same time period, death rate declined from 49 to 7.2. Hence the population growth was very rapid in India.

Heavy population pressure has become a major source of worry for India. It has put burden on the public exchequer to mobilize enough resources to provide public education, health care, infrastructure etc.

Dependence on Agriculture

Majority of India's working population depend on agricultural activities to pursue their livelihood. In 2011 about 58 percent of India's working population was engaged in agriculture. In spite of this, the contribution of agriculture to India's gross domestic product is a little over 17 percent.

A major concern of agriculture in India is that productivity in this sector is very less.

There is heavy population pressure on land to sustain huge number. Due to population pressure on land the per capita availability of land area is very low and not viable for extracting higher output. Two, since per capita land availability is less, a majority of people are forced to become agricultural labour working at low wages.

Three, Indian agriculture suffers from lack of better technology and irrigation facilities.

Four, mostly people, who are not educated or not trained properly, are engaged in agriculture. So it adds to low productivity in agriculture.

Poverty and inequality

As per reports of government of India, in 2011-12 about 269.3 million people in India were poor. This was about 22 percent of India's population. A person is termed poor if he/she is not able to consume the required amount of food to get a minimum calorie value of 2400 in rural area and 2100 in urban area. For this the person must earn the required amount of money as well to buy the food items.

The government has also estimated that the required amount of money is 816 in rural area and ` 1000 in urban area per head per month. This comes to about ` 28 in rural area and ` 33 in urban area per head per day. This is called poverty line. This implies that 269.9 million people of India were not able to earn such little amount in 2011-12. In 2018, almost 8% of the world's workers and their families lived on less than US\$1.90 per person per day (international poverty line).

Poverty goes with inequality in income and wealth distribution. Very few in India possess materials and wealth while majority have control over no or very little wealth in terms of land holding, house, fixed deposits, shares of companies, savings etc.

Only top 5 percent of households control about 38 percent of total wealth in India while the bottom 60 percent of household has control over only 13 percent of the wealth. This indicates concentration of economic power in a very few hands.

Another issue linked to poverty is the problem of unemployment. One of the most important reasons of poverty in India is that there is lack of job opportunities for all the persons who are in the labour force of the country.

Labour force comprises of the adult persons who are willing to work. If adequate number of jobs are not created every year, the problem of unemployment will grow.

In India every year large number of people are added to the labour force due to increase in population, increase in number of educated people, lack of expansion of industrial and service sector at the required speed etc.

Higher rate of capital formation or investment

At the time of independence, one of the major problems of Indian economy was deficiency in capital stock in the form of land and building, machinery and equipment, saving etc.

In order to continue the cycle of economic activities such as production and consumption, a certain ratio of production must go towards saving and investment.

However, the required ratio was never generated in the first four to five decades after independence. The simple reason being higher consumption of necessary items by the population of whom most happened to be poor and lower middle-income class.

Collective household saving was very less due to this. Consumption of durable items was also very less. But in recent years things have changed. Economists have calculated that in order to support the growing population,

India requires 14 percent of its GDP to be invested. It is encouraging to note that the saving rate of India for the year 2011 stands at 31.7 percent. The ratio of gross capital formation was 36.6 percent. This is possible because people are now able to save in banks, consume durable goods and there has been large scale investment taking place on public utilities and infrastructure.

Planned economy

India is a planned economy. Its development process has been continuing through five-year plan since the first plan period during 1951-56. The advantage of planning is very well known. Through planning the country sets its priorities first and provides the financial estimates to achieve the same.

Accordingly, efforts are made to mobilise resources from various sources at least cost. India has already completed eleven five-year plan periods and the twelfth plan is in progress. After every plan a review is made analysing the achievements and short falls.

Accordingly, things are rectified in the next plan. Today India is a growing economy and recognised everywhere as a future economic power. The per capita income of India is growing at a higher rate than before. India is seen as a big market for various products. All these are possible due to planning in India.

Challenges of Indian Economy

Low per capita income

Usually, developing economies have a low per-capita income. The per capita income in India in 2014 was \$1,560. In the same year, the per-capita Gross National Income (GNI) of USA was 35 times that of India and that of China was 5 times higher than India.

Further, apart from the low per-capita income, India also has a problem of unequal distribution of income. This makes the problem of poverty a critical one and a big obstacle in the economic progress of the country.

Huge dependence of population on agriculture

Another aspect that reflects the backwardness of the Indian economy is the distribution of occupations in the country. The Indian agriculture sector has managed to live up to the demands of the fast-increasing population of the country.

According to the World Bank, in 2014, nearly 47 percent of the working population in India was engaged in agriculture. Unfortunately, it contributed merely 17 percent to the national income implying a low productivity per person in the sector. The expansion of industries failed to attract enough manpower either.

Chronic unemployment and under-employment

The huge unemployed working population is another aspect which contributes to the economic issues in India. There is an abundance of labour in our country which makes it difficult to provide gainful employment to the entire population.

Also, the deficiency of capital has led to the inadequate growth of the secondary and tertiary occupations. This has further contributed to chronic unemployment and under-employment in India.

With nearly half of the working population engaged in agriculture, the marginal product of an agricultural labourer has become negligible. The problem of the increasing number of educated-unemployed has added to the woes of the country too.

Heavy population pressure

Another factor which contributes to the economic issues in India is population. Today, India is the second most-populated country in the world, the first being China.

We have a high-level of birth rates and a falling level of death rates. In order to maintain a growing population, the administration needs to take care of the basic requirements of food, clothing, shelter, medicine, schooling, etc. Hence, there is an increased economic burden on the country.

Slow improvement in Rate of Capital Formation

India always had a deficiency of capital. However, in recent years, India has experienced a slow but steady improvement in capital formation. We experienced a population growth of 1.6 percent during 2000-05 and needed to invest around 6.4 percent to offset the additional burden due to the increased population.

Therefore, India requires a gross capital formation of around 14 percent to offset depreciation and maintain the same level of living. The only way to improve the standard of living is to increase the rate of gross capital formation.

Inequality in wealth distribution

In India, merely 1 percent of the population has 58 percent of the total Indian wealth. Also, 57 billionaires have the same amount of wealth as the bottom 70 percent of India. Inequal distribution of wealth is certainly one of the major economic issues in India.

Poor Quality of Human Capital

In the broader sense of the term, capital formation includes the use of any resource that enhances the capacity of production.

Therefore, the knowledge and training of the population is a form of capital. Hence, the expenditure on education, skill-training, research, and improvement in health are a part of human capital.

To give you a perspective, the United Nations Development Program (UNDP), ranks countries based on the Human Development Index (HDI). This is based on the life expectancy, education, and per-capita income. In this index, India ranked 130 out of 188 countries in 2014.

Low level of technology

New technologies are being developed every day. However, they are expensive and require people with a considerable amount of skill to apply them in production.

Any new technology requires capital and trained and skilled personnel. Therefore, the deficiency of human capital and the absence of skilled labor are major hurdles in spreading technology in the economy.

Another aspect that adds to the economic issues in India is that poor farmers cannot even buy essential things like improved seeds, fertilizers, and machines like tractors, investors, etc. Further, most enterprises in India are micro or small. Hence, they cannot afford modern and more productive technologies.

Lack of infrastructure

The lack of infrastructural facilities is a serious problem affecting the Indian economy. These include transportation, communication, electricity generation, and distribution, banking and credit facilities, health and educational institutions, etc. Therefore, the potential of different regions of the country remains under-utilized.